

One genuine gap worth noting: none of the five metrics includes a **dividend sustainability signal** (e.g., Dividend Cover = FCF / Dividends Paid, sustained $\geq 2\times$ over 5 years). Real pension funds in Europe heavily weight dividend reliability because it directly funds their liability payments. Fundsmith tracks this through interest cover and FCF growth consistency, rather than a standalone dividend metric, but for a pension mandate specifically — as opposed to a long-only quality equity fund — this could be a sixth metric worth adding to the agent as a pass/fail gate rather than a scored metric. <https://kclau.com/investment/5-insights-from-fundsmith-in-outperforming-the-sp-500/>

What changed from the 5-metric version

****Weight redistribution.**** To make room for M-06, the existing weights were trimmed modestly and logically:

| Metric | Old Weight | New Weight | Rationale for change |

| ---|---|---|---|

| M-01 ROIC–WACC | 25% | 22% | M-06 captures downstream income effect of ROIC |

| M-02 FCF Conversion | 25% | 22% | M-06's FCF Cover uses the same FCF engine |

| M-03 FCCR/Leverage | 20% | 18% | M-03 balance sheet stress → M-06 dividend cut link |

| M-04 Sloan Accruals | 15% | 13% | M-06 captures the income consequence of accrual inflation |

| M-05 EBITDA CV | 15% | 13% | M-06 captures income consequence of margin volatility |

| ****M-06 DSI**** | — | ****12%**** | New — income reliability pillar |

****The M-06 Dividend Sustainability Index**** is built on three sub-signals tested in sequence:

1. ****FCF Dividend Cover (50% of M-06)**** — Is the dividend funded by real cash, $2\times$ over, not accounting profit?
2. ****Dividend Continuity Score (35%)**** — Has the company maintained or grown its dividend in at least 8 of the last 10 years, including through the 2020 COVID shock?
3. ****Payout Discipline Ratio (15%)**** — Is the total payout ratio (dividends + buybacks / FCF) in the 40–75% target zone?

****A binary pre-screen was added**** that runs before any other metric is scored: companies with more than 2 dividend cuts in 10 years are automatically excluded — regardless of how strong their ROIC or FCF scores are.

Every metric now includes a ****plain-language explanation section**** written specifically for your project team, explaining what the metric is and why a pension fund (?????) specifically needs it.

“why are youi thinking from a pennsion fund side, would it be different if you werent looking from a pension fund side but just in general terms for eliminating companoes for our project?”

Really good question — and the honest answer is: ****yes, meaningfully different****, but not entirely.

Let me break this down clearly.

What stays the same regardless of mandate

Some of these metrics are universal institutional filters that any serious investment process would use, pension fund or not:

****M-01 (ROIC–WACC Spread)**** stays. Any rational investor — hedge fund, sovereign wealth fund, family office — wants to own companies that earn above their cost of capital. Capital destruction is bad regardless of who is investing.

****M-02 (FCF Conversion)**** stays. Cash earnings being real rather than accounting fiction is universally important. No serious investor wants to own a company whose profits are manufactured through accruals.

****M-04 (Sloan Accruals Ratio)**** stays. Earnings quality is a universal concern — the forensic accounting angle is relevant for any long-term holder.

What changes significantly without the pension fund lens

****M-03 (Fixed Charge Coverage + Net Debt/EBITDA)**** would be ****loosened considerably****. Pension funds are unusually intolerant of leverage because they cannot afford insolvency events — their beneficiaries depend on the income. A general investment mandate might accept Net Debt/EBITDA of 4–5× for a high-quality business with stable cash flows, whereas we set 3.0× as a hard ceiling. A hedge fund might actually **seek** leveraged companies in a rate-cutting cycle as they benefit disproportionately.

****M-05 (EBITDA Margin CV)**** would shift from a **hard filter** to a **contextual signal**. For a pension fund, margin volatility is existential — it threatens dividend continuity. For a general growth mandate, a cyclical company with a high CV might be exactly what you want to buy at the bottom of its cycle and sell at the top. The metric is still useful, but you'd weight it lower and use it differently — as a risk flag rather than a cut signal.

****M-06 (Dividend Sustainability Index)** would be removed entirely or replaced.****** This metric exists purely because of the pension mandate's need for scheduled income distributions. A growth-oriented fund, a hedge fund running a long/short book, or even a sovereign wealth fund with a 50-year investment horizon may not care at all whether companies pay dividends — some of the best compounders (Berkshire Hathaway, historically Alphabet) pay nothing. The entire pillar of "Income Reliability" is a pension-specific requirement, not a universal quality signal.

What would replace or complement M-06 in a general mandate

If you removed the income-reliability constraint, you would likely substitute with one or more of these, depending on your project's goals:

****Revenue Quality / Recurring Revenue Ratio**** — what proportion of revenues are contractually recurring versus transactional. Relevant across all mandates as a business model quality signal.

****Earnings Revision Stability**** — how consistently do analyst consensus earnings forecasts for this company hold up over a 12-month forward window without major downward revisions. Companies with stable, predictable earnings revisions are higher quality regardless of mandate type.

****Reinvestment Rate $\times$ ROIC**** (the Greenwald compounding model) — instead of checking if a company distributes cash, check if it reinvests at a rate that generates above-WACC returns on that reinvestment. For a growth mandate, a company reinvesting 80% of earnings at 20% ROIC is far more valuable than one paying 70% out as dividends at 10% ROIC.

The short answer for your project

The core financial filter — ****M-01, M-02, M-04**** — survives almost unchanged** for any mandate. These three are universal quality screens.

****M-03**** becomes more flexible without the pension constraint — leverage tolerance rises, and the stress-test thresholds loosen.

****M-05**** shifts from a hard cut signal to a risk-weighting input — still useful, but no longer a reason to exclude a company outright.

****M-06 disappears entirely**** and would be replaced by a reinvestment quality or earnings predictability signal more appropriate for the mandate you're actually running.

So the architecture holds — four pillars of financial health are always worth filtering on — but roughly ****30–35% of the specific thresholds and one full metric (M-06)**** are pension-fund-specific rather than universal. Your project should document this distinction clearly: which filters are mandate-neutral quality screens, and which are specifically calibrated for a liability-driven, income-dependent institutional investor.